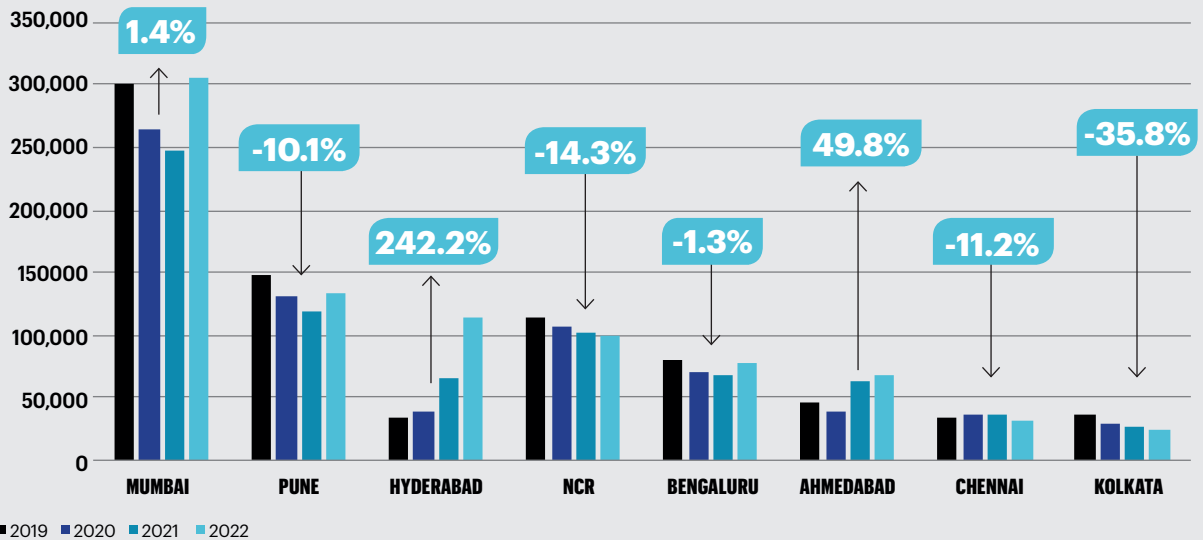


MIXED INVENTORY

While total unsold inventories have gone up, the trend across the top real estate markets is mixed



UNSOLD INVENTORY IN UNITS ACROSS THE TOP REAL ESTATE MARKETS BETWEEN 2019 AND 2022; THE NUMBERS IN BUBBLES INDICATE PERCENTAGE CHANGE IN INVENTORY; **SOURCE** REA INDIA, INDUSTRY

ment's focus, the affordable housing segment could do with more support from the government, he adds.

NIRANJAN HIRANANDANI, CO-FOUNDER and MD of Mumbai-based real estate major Hiranandani Group, agrees. Hiranandani, who is also the National Vice Chairman of industry body Naredco, says a slew of measures that were demanded by industry stakeholders remain unfulfilled, but the affordable housing segment still has room to grow. While by statute, affordable housing in major cities is defined as units costing up to ₹45 lakh and measuring not more than 60 sq. m, industry players have demanded several changes in these rules to open up the segment to a larger set of customers and attract more developers. For instance, key demands of the industry have been to increase the price cap on affordable homes to ₹1 crore in metro cities and granting of industry status to the sector. Hiranandani says raising the price cap would not only help absorb surging costs, but also ensure that a larger number of homebuyers can avail the interest subsidy provided under the Credit Linked Subsidy Scheme of the government's PMAY (U) scheme.

In spite of the current crisis, stakeholders are hopeful about the prospects of the affordable housing seg-

ment. They say that if the right measures are introduced, then the segment has the potential to fulfil the home-owning dreams of many families in the lower- and middle-income segments. "This cycle of what was once affordable becoming unaffordable has made it increasingly challenging for low- and middle-income buyers to find suitable housing options. These issues require coordinated efforts from developers, lenders and policymakers as it constitutes a sizeable chunk of the population and a substantial unmet need exists," says Modi. According to Puri, the government can also consider unlocking its landholdings to make cheaper land available to the developers of affordable housing projects. "Another key intervention that... continues to be extremely pertinent, is revising the price bandwidth for homes that qualify for the government's various incentives to affordable housing buyers. The current ₹45 lakh-limit means that buyers cannot look anywhere within the city limits, but must turn to the infrastructure-deficient outer suburbs," he says.

As the situation unfolds, market dynamics are making their presence felt in the affordable residential real estate market, with scarce relief in sight for developers and homebuyers. **BT**

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